What is a Business Idea?

- **A concept for a product or service** that can be **sold for profit**. It's the starting point of any new venture.

The Goal :

- To systematically identify, research, and validate a promising business idea.
  - **Market Research**: Is the market growing? Who are the competitors?
  - **Customer Interviews**: Talk to potential users. Would they actually pay for this?
  - **Prototyping:** Create a "Minimum Viable Product" (MVP) to test the core functionality

- To develop a clear, actionable plan for moving forward.
  - **Revenue Streams:** How exactly will you make money? (Direct Sale, Subscription, Leasing/Renting, Brokerage Fee Etc.)
  - **Cost Structure:** What are your biggest expenses (rent, tech, staff)?
  - **Channels:** How will customers find out about you?

Idea
Competitive Analysis
Idea
Industry Analysis
Idea
Usability Benchmarks
Idea
Situational Assessment
Identify & Opportunity Analysis
SUCCESS
Goal
Opportunity Analysis
Idea

What is Product Innovation?

- Product innovation is the **creation and introduction of a new or significantly improved good or service** to the market.

- **Types of Product Innovation:**

Incremental Innovation:

- **Small improvements** made to existing products or services.

A new model of a smartphone that has a slightly better camera or a faster processor.

- **Radical Innovation**
- A **completely new invention** that creates a big change in the world. It introduces something that did not exist before.

Eg- The invention of the personal computer, the first smartphone, or the introduction of electric vehicles.

- **Disruptive Innovation**
- An innovation that **starts simple and affordable** but **later replaces existing big companies** or technologies.

Eg- Netflix's streaming service, which initially offered a simpler, more convenient alternative to Blockbuster's DVD rentals and eventually made them obsolete.

Why is Product Innovation Important?

- **Creates a Competitive Advantage:**
  A **unique** or superior product helps a company stand out from its rivals.

- **Drives Growth and Revenue:**
  Innovative products can **open up new markets and attract new customers**, leading to increased sales.

- **Enhances Customer Loyalty:**
  By consistently providing products that **solve problems in new and better ways**, a company can build a strong, loyal customer base.

- **Helps a Company to sustain:**
  In a fast-changing market, innovation is essential for adapting to new technologies and evolving customer needs

New Product Development

New Product Development

- New product development is the process of **finding ideas for new goods and services** and **converting them into commercially successful products**.
- In business, new product development (NPD) covers the **complete process of bringing a new product to market**
  - **Shapes the company's future**.
  - **Replacement of products** must be done to maintain or **increase sales**
  - **Customers want new products,** and competitors will do their best to supply them.

New Product Development

- A company can **add new products through acquisition or development**:
- Acquisition:
  - The company can **buy other companies**,
  - It can **acquire patents** from other companies,
  - It can **buy a license or franchise** from another company.
- Development:
  - The company can **develop new products in its own laboratories**.
  - It can **contract with independent researchers**.

Feature	Acquisition	Development
Speed	Faster (Product is already made)	Slower (Requires R&D time)
Risk	Lower technical risk; higher financial cost	Higher technical risk (it might fail)
Control	Limited by existing design	Total control over features

Challenges in New-Product Development

- **The Innovation Imperative**
  - Highly **innovative firm**s are able to **identify and quickly acquire new market opportunities**.
  - **Companies that fail to develop new products their existing product become outdated**.
- **New-Product Success**
  - Most **established companies focus on incremental innovation**, entering new markets by introducing products for new customers.
  - **Newer companies create Disruptive Technology** while Established companies avoid it as it contains high risk.

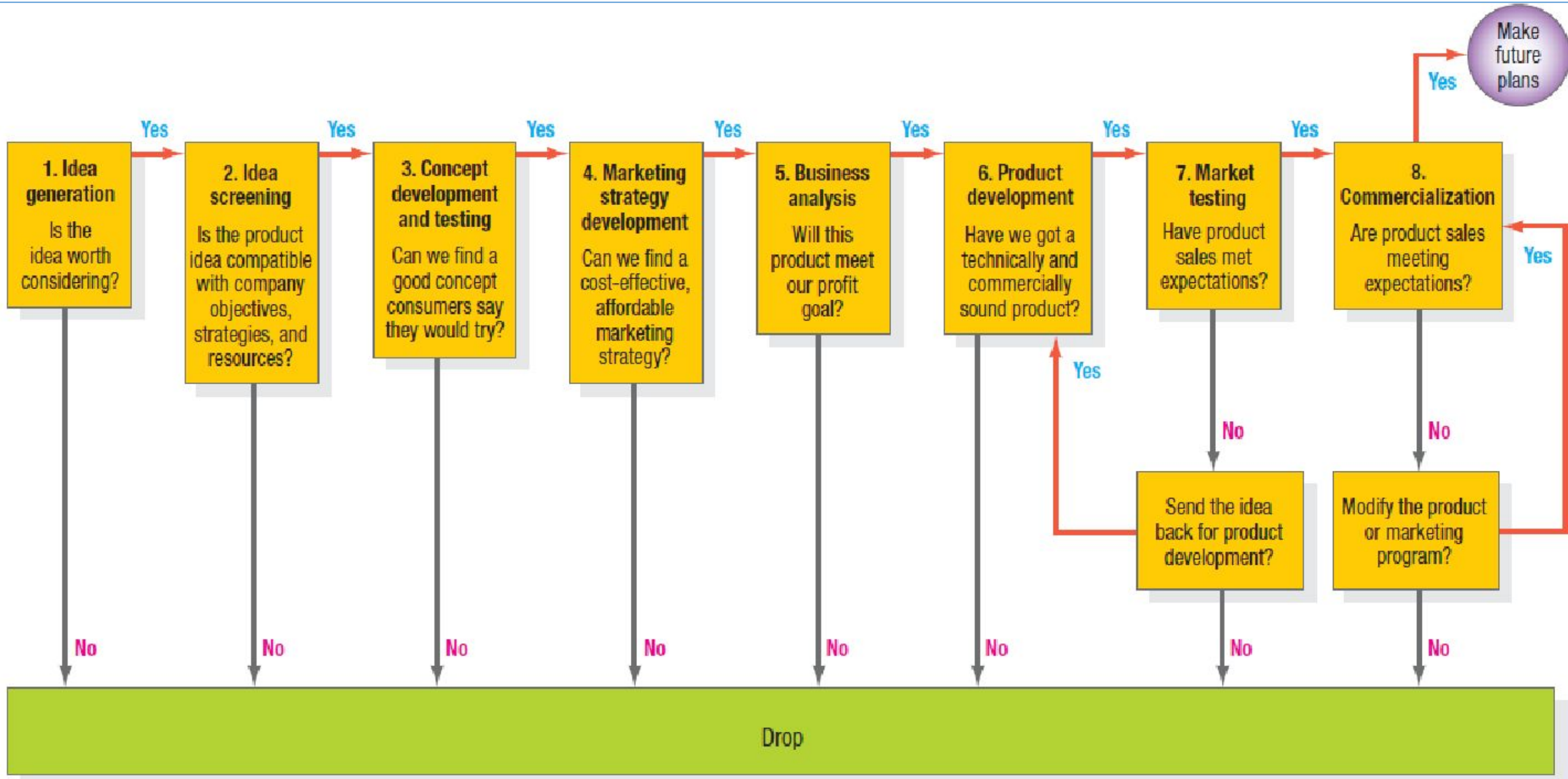
Challenges in New-Product Development

- **New-Product Failure**
  - New products continue to fail at estimated rates as high as 50 percent or even 95 percent in the United States and 90 percent in Europe

  Some drawbacks are :

  - Overestimated market size
  - Poor design
  - Incorrect positioning and advertisement or price
  - Competitors
  - ROI
  - Shortage of Important ideas
  - Capital shortage
  - Organizational support

New Product Development Process



<u>1 step- Idea Generation</u> "Is the idea worth thinking about?"

- This is the **starting point**. Companies **collect new product ideas from customers, employees, competitors and market research.**
- At this stage, **no judging the focus is just on collecting ideas**.
- EG- As per growing fitness awareness in India **Amul have an idea of combining traditional buttermilk with added protein.**

<u>2 step- Idea Screening</u> "Does this idea fit our company?"

- Now the **company filters ideas**.
- They check **does it match company goals**? Do we have **money and resources**? **Is it realistic?**
- Bad or risky ideas are dropped here to avoid wasting money.
- Eg- Amul checked that **Does it match our dairy expertise**? Do we have milk supply and **production** capacity?

<u>3 step- Concept Development & Testing</u> "Will customers like this idea?"

- Here, **the idea becomes a clear product concept**.
- Company **describes the product clearly**, **Shows it to target customers and asks for feedbacks.**
- Eg- Amul created a **clear concept of "High-protein buttermilk for fitness lovers and working professionals."** They tested the **Taste, Packaging, Protein level, Customer response**. If feedback was positive, so they continued.

<u>4 step- Marketing Strategy Development</u> "How will we sell it?"

- **Company plans for Target market, Price Promotion, Distribution and etc.**
- Eg- Target market: Gym-going, youth, health-conscious people

  Affordable pricing (mass market focus)

  Available in retail stores & online

  Promotion through social media

5 step- Business Analysis "Will we make profit?"

- **Now the company calculates cost of production, expected sales, expected profit and Break-even point.**
- If profits look good we move ahead and If losses expected we stop project
- **This step protects company from financial risk.**
- Eg- Amul calculated Production cost, Expected sales volume and Profit margin of involved in application of idea.

6 step- Product Development "Can we actually make it?"

- **Engineers and designers make prototype than Test quality, Check safety and Improve design.**
- Eg- They finalized protein formula, Designed attractive packaging, Ensured quality & safety testing.

7 step- Market Testing "Do people really buy it?"

- Product is **launched in a small test market.**
- Company **checks sales response, Customer feedback and Problems in distribution**.
- If sales are **poor than send back for improvement** and If sales are good than go to final stage.
- Eg- Product was introduced in selected cities first. Sales performance and customer reviews will be taken into consideration.

8 step- Commercialization Full Launch

- **Now the product is launched nationwide or globally.**
- Company **invests in Large-scale production, Full advertising campaign, Distribution everywhere.**
- Now product is officially in market.
- Eg- High-protein buttermilk now available widely.

Https://gtupapersolutions.Com/new-product-development-process/